Type MS · Should a trader form a partnership (or an LLP)?

Answer 1 of 7 · Question 1 part b · 5 marks

2020 NOV · Paper 02 (regional R) · extract 1 of 2 · find part b in this mark scheme extract

1 (a) **Award marks as indicated with label.**

Gurpreet Income statement for the year ended 31 December 2019		
	$	**$**
Revenue		81 385 **(1)**
Cost of sales		
Opening inventory	15 000 **(1)**	
Purchases	45 920 **(1)**	
Closing inventory	(12 000) **(1)**	
		(48 920) **(1of)**
Gross profit		32 465 **(1of)**
Add income		
Allowance for doubtful debts		150 **(1)**
Profit on disposal of motor vehicle $5 760 **(1)** - $5 000 **(1)** = $760 **(1of)**		760 **(3)**
		33 375
Less expenses		
Irrecoverable debts	575 **(1)**	
Motor vehicles – depreciation charge $40 000 **(1)** x 10%=$4 000 **(1of)**	4 000 **(2)**	
Office expenses $16 780 **(1)** - $1 280=$15 500 **(1)**	15 500 **(2)**	
Wages $24 375 **(1)** + $1 125=$25 500 **(1)**	25 500 **(2)**	
		(45 575) **(1of)**
Loss for the year		12 200 **(2/1of)**

(20)

Type MS · Should a trader form a partnership (or an LLP)?

Answer 1 of 7 · Question 1 part b · 5 marks

2020 NOV · Paper 02 (regional R) · extract 2 of 2 · find part b in this mark scheme extract

Question Number	Answer	Mark
1 (b)	**Award 2 marks for points in favour and 2 marks for points against. Award 1 mark for decision.** **For example** The new partner will provide additional capital **(1)** and new skills and expertise **(1).** However, Gurpreet has to share the profit **(1)** and will lose full control of decisions **(1).** Gurpreet should form a partnership **(1).**	**(5)**

Type MS · Should a trader form a partnership (or an LLP)?

Answer 2 of 7 · Question 12 part b · 2 marks

2023 JUN · Paper 01 (regional R) · find part b in this mark scheme extract

12a **Award marks as indicated.**

Characteristic	Private sector	Public sector
Makes a profit	✓ (1)	
Funded by the government		✓ (1)
Provides a service to the community		✓ (1)

(3)

Question Number	Answer	Mark
12b	**Award marks as indicated.** Additional finance **(1)** Additional expertise **(1)** Shared ideas **(1)** **Accept any other appropriate responses**	**(2)**

TOTAL FOR QUESTION 12 = 5 MARKS

Type MS · Should a trader form a partnership (or an LLP)?

Answer 3 of 7 · Question 2 part f · 5 marks

2019 JUN · Paper 02 · extract 1 of 4 · find part f in this mark scheme extract

<table>
<tr><td>2(a)</td><td>Award marks as indicated.

<table><tr><th>Scenario</th><th>Accounting concept</th></tr><tr><td>Adjusting expenses for other receivables</td><td>Accruals (1)</td></tr><tr><td>Creating an allowance for doubtful debts</td><td>Prudence (1)</td></tr><tr><td>Recording goods taken for personal use</td><td>Business entity (1)</td></tr></table></td><td>(3)</td></tr>
</table>

Question number	Answer	Mark
2(b)(i)	**Award mark as indicated** Profitability is the ability to generate profits from the activities of the business **(1).**	**(1)**

Question number	Answer	Mark
2(b)(ii)	**Award mark as indicated** Liquidity is the ability of a business to pay off its liabilities **(1).**	**(1)**

Question number	Answer	Mark

Type MS · Should a trader form a partnership (or an LLP)?

Answer 3 of 7 · Question 2 part f · 5 marks

2019 JUN · Paper 02 · extract 2 of 4 · find part f in this mark scheme extract

2(c)	**Award up to 2 marks for comments on profitability and up to 2 marks for comments on liquidity and 1 mark for overall evaluation.** **Sample answer** Gross profit margin has improved indicating charging higher selling price in relation to lower/constant purchase price or cost of sales **(1)**. Profit for the year as a percentage of revenue has also improved due to better gross profit margin **(1)**. Current (working capital) ratio has improved which indicates that the business was able to pay off its short-term liabilities in both years **(1)**. Liquid (acid test) ratio has improved, which indicates that the business can pay off its short-term liabilities without having to sell inventory **(1)**. Overall profitability and liquidity of the business has improved **(1)**	**(5)**

Type MS · Should a trader form a partnership (or an LLP)?

Answer 3 of 7 · Question 2 part f · 5 marks

2019 JUN · Paper 02 · extract 3 of 4 · find part f in this mark scheme extract

Question number	Indicative content	Mark
2(e)	• Partners must share the profits/losses, so they must prepare the appropriation accounts to show the share of profit/loss. • Being partners, they may be entitled to interest on capital, drawings and interest on drawings, salaries etc so they must prepare the current account to show what business owes to them and what they owe to business. • Being partners the drawings and profit share is not adjusted to the capital account so they must show the capital and current account separately in the statement of financial position. The indicative content is not exhaustive; other creditworthy material should be awarded marks as appropriate.	(6)

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1 - 2	Some understanding of the accounting principles demonstrated but explanation has not been developed adequately.
Level 2	3 - 4	Good understanding of the accounting principles demonstrated with a developed explanation but with limited evidence to support response.
Level 3	5 - 6	Excellent understanding of the accounting principles demonstrated with a well-developed explanation with sufficient evidence to fully support response.

Type MS · Should a trader form a partnership (or an LLP)?

Answer 3 of 7 · Question 2 part f · 5 marks

2019 JUN · Paper 02 · extract 4 of 4 · find part f in this mark scheme extract

Question number	Answer	Mark
2(f)	**Award up to 2 marks for identification, 2 marks for development and 1 mark for conclusion.** **Sample answers** A sole trader may have limited finance/capital/resources to expand the business **(1)**, but a new partner brings in additional finance/capital/resources available to expand the business **(1)**. A sole trader may find it hard to cope with the demands of the increased business **(1)**, but a new partner will bring in additional skills/knowledge/ideas/ and share workload **(1)**. If a sole trader forms a partnership, he will lose control as all the decision are to be made collectively **(1)**, whereas at present he makes all the decisions **(1)**. If a sole trader forms a partnership, he must share the profits with the other partner **(1)**, whereas at present he takes all the profits **(1)**. Any supported decision **(1)**.	**(5)**

(TOTAL FOR QUESTION 2 = 25 marks)

Type MS · Should a trader form a partnership (or an LLP)?

Answer 4 of 7 · Question 2 part a · 2 marks

2021 NOV · Paper 02 · extract 1 of 3 · find part a in this mark scheme extract

2(a)	**Award mark as indicated.** **Advantages Max (1)** Additional capital **(1)** More expertise **(1)** Shared work load **(1)** **Disadvantages Max (1)** Shared profits **(1)** Disputes **(1)** Lack of control **(1)** **Accept any other appropriate responses**	**(2)**

Question number	Answer	Mark

2(b) **Award marks as indicated.**

Able and Beena
Appropriation account for the year ended 30 April 2021

	$	$
Profit for the year		26 550 **(1)**
Add interest on drawings		
Able	1 600 **(1)**	
Beena	1 050 **(1)**	2 650
		29 200
Less interest on capital		
Able	(6 000) **(1)**	
Beena	(2 000) **(1)**	(8000)
Less Salary- Beena		(7 200) **(1)**
Profit available for distribution		14 000
Profit share		
Able		10 500 (**1of**)
Beena		3 500 **(1of)**

(8)

Type MS · Should a trader form a partnership (or an LLP)?

Answer 4 of 7 · Question 2 part a · 2 marks

2021 NOV · Paper 02 · extract 2 of 3 · find part a in this mark scheme extract

Question number	Answer	Mark
2(c)	**Award marks for each correct date detail and amount in combination**	(6)

Current Account - Beena

Date	Details	Amount $	Date	Details	Amount $
1 May 2020	Balance b/d	2 750	30 April 2021	Appropriation/ interest on capital	2 000 **(1of)**
30 April 2021	Drawings	10 500 **(1)**		Appropriation/ salary	7 200 **(1)**
	Appropriation/ interest on drawings	1 050 **(1of)**		Appropriation/ Profit share	3 500 **(1of)**
				Balance c/d	1 600
		14 300			14 300
1 May 2021	Balance b/d	1 600 **(1of)**			

Question number	Answer	Mark
2(d)	**Award mark as indicated** Partner may have taken more money than allowed. **Accept any other appropriate responses**	**(1)**

Question number	Answer	Mark
2(e)	**Award marks as indicated**	**(3)**

Transaction	Increase	Decrease	No effect
A partner withdraws goods for their own use.	✓ **(1)**		
A partner purchases stationery for the business from their own monies.		✓ **(1)**	
A partner introduces capital into the business			✓ **(1)**

Type MS · Should a trader form a partnership (or an LLP)?

Answer 4 of 7 · Question 2 part a · 2 marks

2021 NOV · Paper 02 · extract 3 of 3 · find part a in this mark scheme extract

Question number	Answer	Mark
2(f) (i)	**Award 1 mark for each valid point up to a max of 3 marks.** **Sample answer** Interest on drawings will discourage excessive drawings **(1)** which will improve cash flow **(1)** and improve the liquidity of the business **(1)** **Accept any other appropriate responses**	**(3)**

Question number	Answer	Mark
2(f) (ii)	**Award 1 mark for each valid point up to a max of 2 marks.** **Sample answer** Interest on capital acts as a form of compensation to the partner who has invested more **(1)** and therefore encourages partners to invest in the business **(1)** **Accept any other appropriate responses**	**(2)**

(Total for Question 2 = 25 marks)

Type MS · Should a trader form a partnership (or an LLP)?

Answer 5 of 7 · Question 1 part b · 5 marks

2024 JUN · Paper 02 · extract 1 of 2 · find part b in this mark scheme extract

Number		
1(a)(i)	**Award marks as indicated.**	**(15)**

Ahmed and Malik
Income Statement
For the year ended 31 March 2024

	$	$
Revenue		192 000 **(1)**
Cost of sales		
Opening inventory	12 260	
Purchases	86 321 **(1)**	
Purchase returns	(3 298)**(1)**	
Carriage inwards	645 **(1)**	
Closing inventory	(14 265)**(1fb)**	
Cost of sales		(81 663)**(1)**
Gross profit		110 337**(1of)**
Discount received		663 **(1)**
		111 000
Expenses		
Rent rates and insurance	10 000**(1)**	
Carriage outwards	1 300**(1)**	
Depreciation – motor vehicles	5 000**(1)**	
Discount allowed	678**(1)**	
Motor expenses	1 854	
Provision for irrecoverable debts	720 **(1)**	
Wages and salaries	44 448	
		64 000 **(1)**
Profit for the year		47 000**(1of)**

Type MS · Should a trader form a partnership (or an LLP)?

Answer 5 of 7 · Question 1 part b · 5 marks

2024 JUN · Paper 02 · extract 2 of 2 · find part b in this mark scheme extract

Question Number	Answer	Mark
1(a)(ii)	**Award marks as indicated.** **Ahmed and Malik** **Appropriation Account** **For the year ended 31 March 2024**	**(5)**

	$	$
Profit for the year		47 000 **(1of)**
Interest on capital –Ahmed - Malik	(2 500) (1 500) **(1fb)**	
Salary - Ahmed	(10 000) **(1)**	(14 000)
Residual profit		33 000 **(1of)**
Share of profits – Ahmed - Malik		16 500 16 500 **(1offb)**

Question Number	Answer	Mark
1(b)	**Award up to 2 marks for an explanation of advantages and up to 2 marks for an explanation of disadvantages.** **Award 1 mark for overall advice.** **Sample answer** If the partners introduce a third partner the new partner may bring in additional skills and expertise **(1)** which may help the partnership to increase its revenue/profit. **(1)** However, introducing a new partner may result in conflict between the partners **(1)** which may have a negative effect on the company's efficiency resulting in lower profits. **(1)** I would advise the partners to proceed with their proposal as they may be able to increase their profit in the long-term. **(1)** **Accept any other appropriate responses**	**(5)**

TOTAL FOR QUESTION 1 = 25 MARKS

Type MS · Should a trader form a partnership (or an LLP)?

Answer 6 of 7 · Question 2 part a · 2 marks

2024 NOV · Paper 02 · extract 1 of 3 · find part a in this mark scheme extract

2(a)	**Award one mark for each correct reason.** Able to provide cover for holidays / sharing workload **(1)** Additional skills/experience **(1)** Sharing risks /losses **(1)** **Accept any other appropriate responses**	**(2)**

Question Number	Answer	Mark
2 (b)(i)	**Award marks as indicated.**	**(13)**

Haitai and Ming

Manufacturing account for the year ended 30 June 2024

	$	$	
Opening inventory of raw materials	68 000		
Purchases	550 000		
Carriage inwards	42 500		**(1)**
Closing inventory of raw materials	(72 000)		
Cost of raw materials consumed		588 500	**(1of)**
Direct expenses		26 950	**(1)**
Direct wages		127 500	**(1)**
Prime cost		742 950	**(1of)**
Depreciation	8 000		**(1)**
Overheads	138 000		**(1)**
Supervisor's salary	45 000		**(1)**
Insurance	35 325		**(1)**
Rent and rates	187 500		**(1)**
		413 825	**(1)**
		1 156 775	
Opening work in progress	85 278		
Closing work in progress	(96 750)		
		(11 472)	**(1)**
Production cost		1 145 303	**(1of)**

Type MS · Should a trader form a partnership (or an LLP)?

Answer 6 of 7 · Question 2 part a · 2 marks

2024 NOV · Paper 02 · extract 2 of 3 · find part a in this mark scheme extract

<table>
<tr><th>Question Number</th><th>Answer</th><th>Mark</th></tr>
<tr><td>2(b)(ii)</td><td>Award marks as indicated.

$1 086 913 (5) W

Working

$1 145 303 – $7 065 (1) – $37 500 (1) – $3 200 (1) – $10 625 (1)
= $1 086 913 (1)

<table>
<tr><th></th><th>$</th><th>$</th></tr>
<tr><td>Draft production cost</td><td></td><td>1 145 303</td></tr>
<tr><td>Insurance</td><td>(7 065) (1)</td><td></td></tr>
<tr><td>Rent and rates</td><td>(37 500) (1)</td><td></td></tr>
<tr><td>Depreciation</td><td>(3 200) (1)</td><td></td></tr>
<tr><td>Carriage</td><td>(10 625) (1)</td><td></td></tr>
<tr><td></td><td></td><td>(58 390)</td></tr>
<tr><td>Corrected production cost</td><td></td><td>1 086 913 (1)</td></tr>
</table></td><td>(5)</td></tr>
</table>

Type MS · Should a trader form a partnership (or an LLP)?

Answer 6 of 7 · Question 2 part a · 2 marks

2024 NOV · Paper 02 · extract 3 of 3 · find part a in this mark scheme extract

Question Number	Answer	Mark
2(c)	**Award up to four marks for explaining the purpose of a partnership agreement.** **Award one mark for a decision.** **Sample answers** The partnership agreement will allow partners to know their rights and responsibilities **(1)** which can be referred to in the event of any disputes **(1).** The partnership agreement will avoid any disputes between the partners **(1)** which can slow down the decision-making process of the business **(1)** If the partnership does not have an agreement, then the provisions of the Partnership Act 1890 would apply **(1)** which provides for each partner to receive an equal share of profits and losses**. (1)** I believe the partners should draw up a formal partnership agreement **(1)** **Accept any other appropriate responses**	**(5)**

(Total for Question 2 = 25 marks)

Type MS · Should a trader form a partnership (or an LLP)?

Answer 7 of 7 · Question 2 part c.i · 2 marks

2025 JUN · Paper 02 (regional R) · extract 1 of 3 · find part c.i in this mark scheme extract

2 (a)

Award marks as indicated.

Victoria and Albert

Appropriation account for the year ended 30 April 2025

	$	$	
Profit for the year		80 000	
Interest on drawings:			
Victoria	90		
Albert	60		
		150	**(1)**
Interest on capital:			
Victoria	2 500		
Albert	1 500		
		(4000)	**(1)**
Salary: Victoria		(12 000)	**(1)**
Residual profit		64 150	**(1of)**
Share of profit:			
Victoria		32 075	**(1of fb)**
Albert		32 075	
		64 150	

(5)

Type MS · Should a trader form a partnership (or an LLP)?

Answer 7 of 7 · Question 2 part c.i · 2 marks

2025 JUN · Paper 02 (regional R) · extract 2 of 3 · find part c.i in this mark scheme extract

Question Number	Answer	Mark
2(b)	**Award marks as indicated.**	**(15)**

Victoria and Albert

Statement of financial position at 30 April 2025

	$	$	$
Assets			
Non-current assets			
Land and buildings			100 000
Fixtures and fittings			40 000
Motor vehicles			15 000
			155 000 **(1)**
Current assets			
Inventory		14 320	
Trade receivables		19 500 **(1)**	
Other receivables		350 **(1)**	
Petty cash		250	
			34 420 **(1)**
Total assets			189 420 **(1of)**
Equity and liabilities			
Equity	**Victoria**	**Albert**	
Capital account	50 000 **(1)**	30 000 **(1)**	80 000
Current account	48 185 **(1)**	30 015 **(1)**	78 200
Total equity	98 185	60 015	158 200 **(1of)**
Current liabilities			
Partnership loan		8 000 **(1)**	
Trade payables		12 000	
Other payables		650 **(1)**	
Bank		10 570 **(1)**	
Total liabilities			31 220 **(1of)**
Total equity and liabilities			189 420 **(1of)**

Type MS · Should a trader form a partnership (or an LLP)?

Answer 7 of 7 · Question 2 part c.i · 2 marks

2025 JUN · Paper 02 (regional R) · extract 3 of 3 · find part c.i in this mark scheme extract

Question Number	Answer	Mark
2(c) (i)	**Award one mark for identification of an advantage and one mark for valid development.** **Sample answer** As the LLP is considered a separate legal entity each partner's liability would be limited to their investment in the partnership **(1)** Therefore, their personal assets cannot be used to satisfy business debts. **(1)** **Accept any other appropriate responses**	**(2)**

Question Number	Answer	Mark
2(c) (ii)	**Award one mark for identification of a reason and up to two marks for valid development.** **Sample answer** Goodwill is an intangible asset which adds value **(1)** to a partnership therefore when a new partner joins an existing partnership he will benefit from an inherent value **(1)** which will have built up due to the partnership's reputation etc **(1)** **Accept any other appropriate responses**	**(3)**

TOTAL FOR QUESTION 2 = 25 MARKS